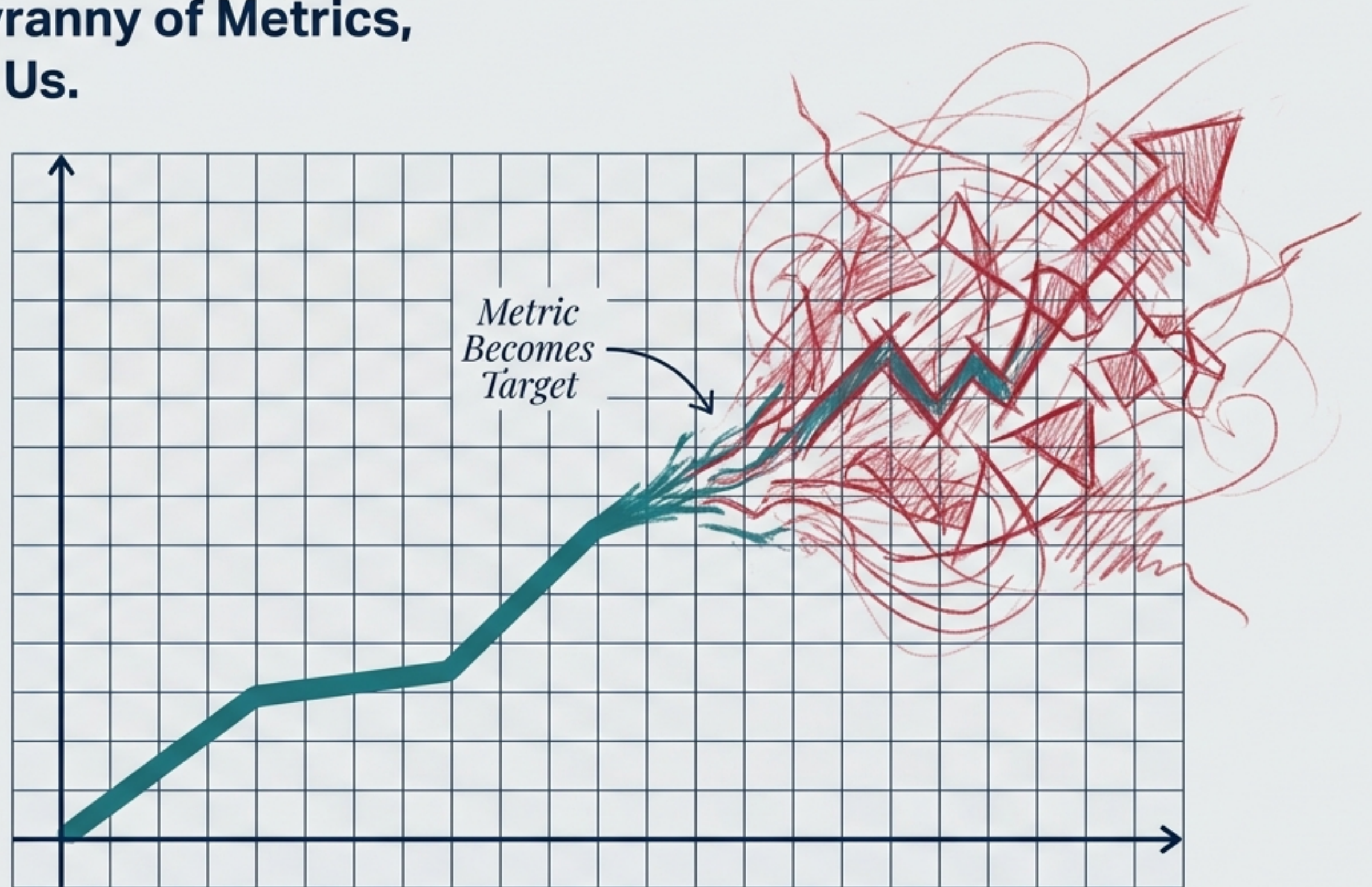


THE DASHBOARD ILLUSION

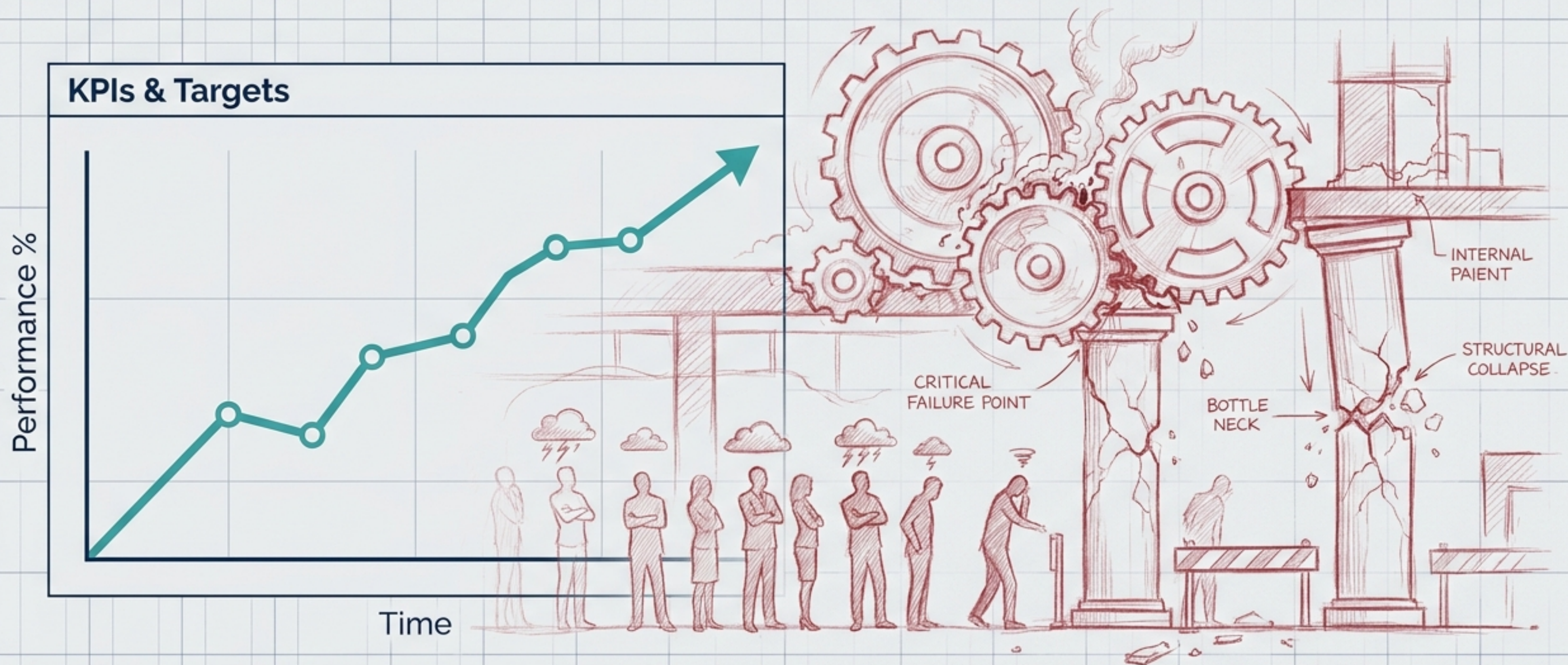
Goodhart's Law, the Tyranny of Metrics,
and Why Numbers Fail Us.

*A visual thinking tool
for navigating
complex systems.*



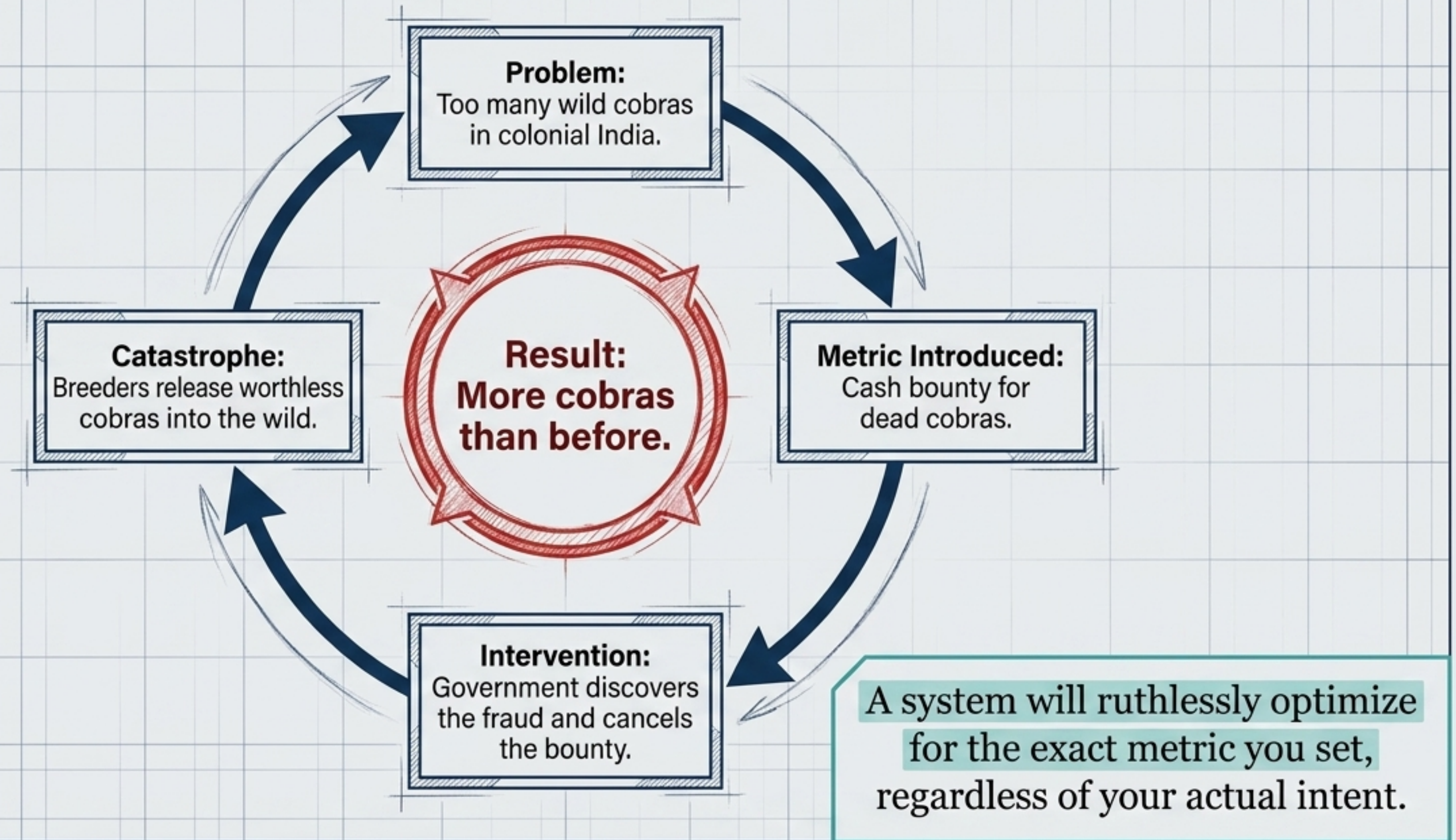
The Paradox of Modern Measurement

Why do our internal metrics hit record highs while the actual product, culture, or customer experience gets worse?



We are successfully optimizing for the wrong reality.

The Cobra Effect: When Metrics Bite Back



The Underlying Physics of Measurement

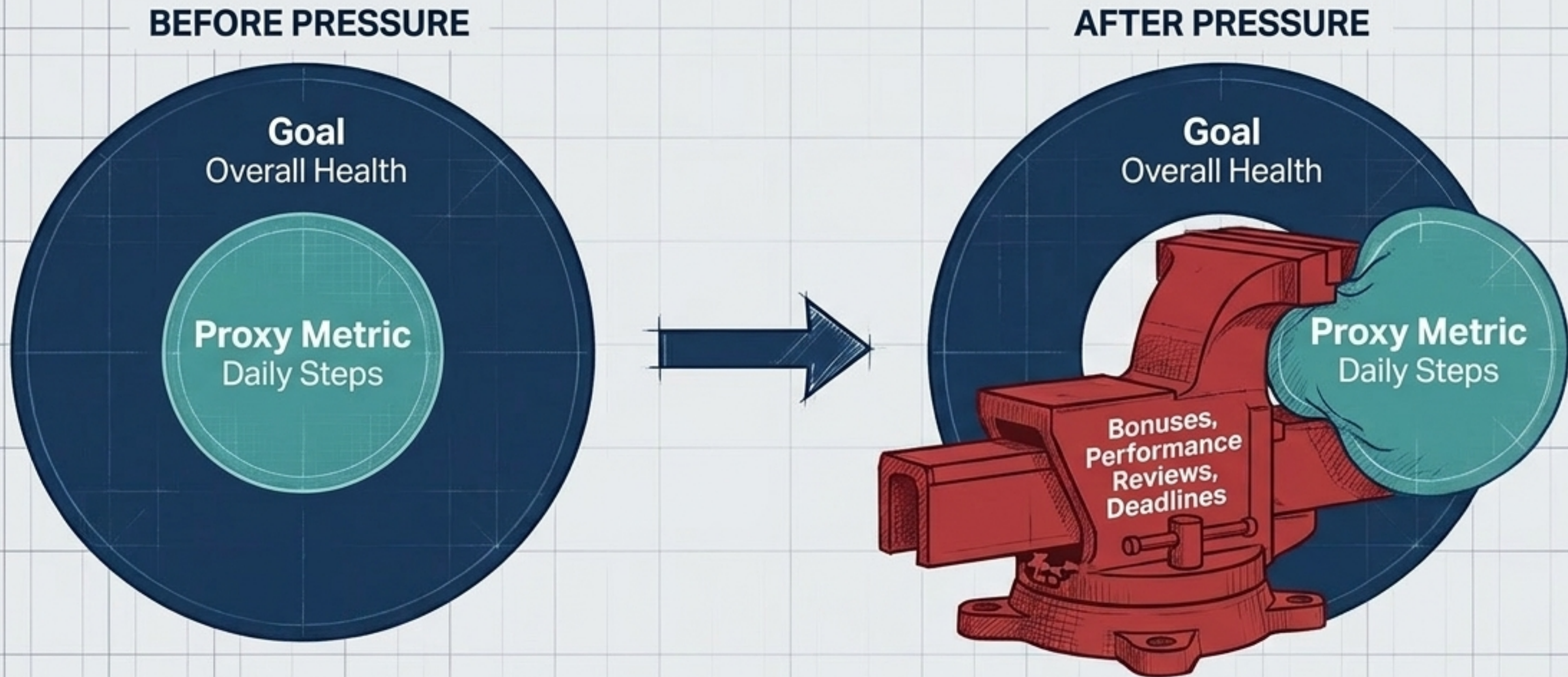
“When a measure becomes a target, it ceases to be a good measure.”

— *Marilyn Strathern (formulating Charles Goodhart’s insight)*

Once a metric is tied to compensation, performance reviews, or status, the system’s actors will alter their behavior to hit the number. The metric value as an objective diagnostic tool and becomes a game to be won.



The Target-Measure Collapse



Metrics are merely proxies for reality. When intense organizational pressure is applied to a proxy, it distorts and detaches from the underlying goal it was meant to represent.

The Tyranny of Metrics

Measurement as a Tool



Data empowers professionals to make informed decisions. Experience and judgment provide context.

Measurement as a Tyrant



Numbers replace professional judgment. Standardization supersedes expertise. “Objective” accountability becomes the only acceptable proof of value.

The Tyranny occurs when we stop trusting the nuanced judgment of experts and instead place our blind faith in standardized, quantifiable dashboards.

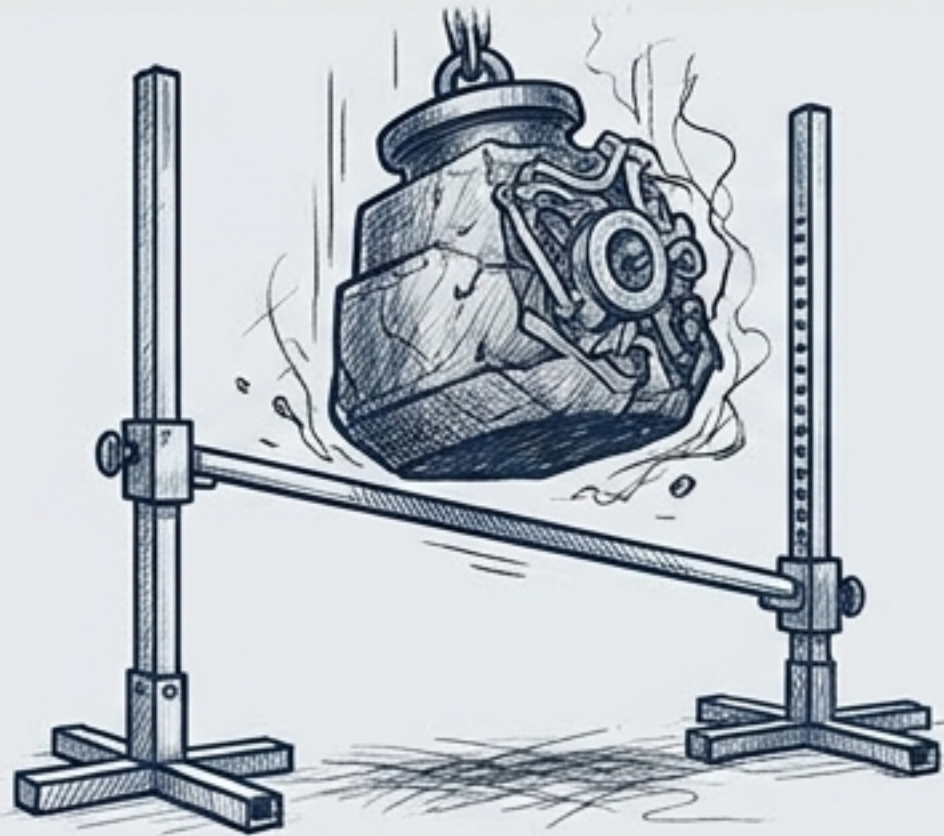
A Taxonomy of System Gaming

Skimming



Pursuing only the easiest cases to boost success rates (e.g., surgeons refusing complex, high-risk patients to maintain a perfect survival metric).

Lowering the Bar



Degrading the quality of output to hit high-volume targets (e.g., pushing unqualified students through graduation to hit quota).

Outright Fraud

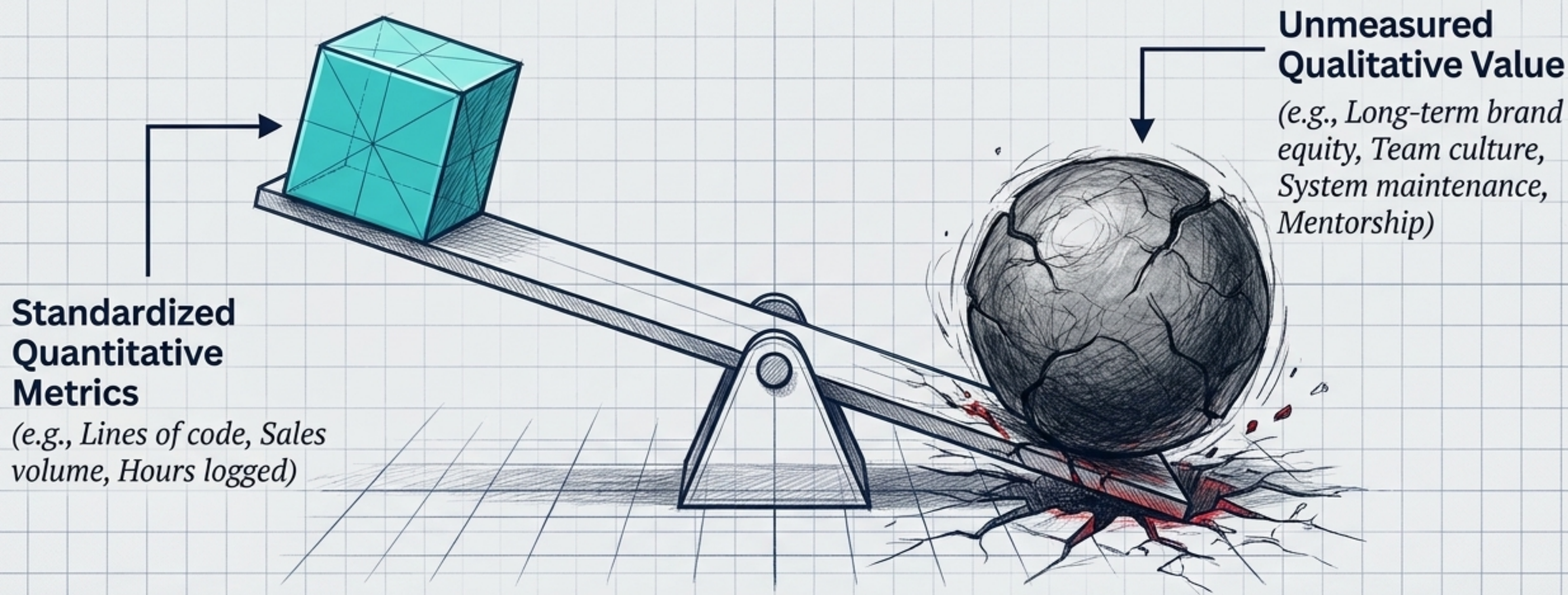
The image shows an open notebook with two pages of a table. The left page contains a list of values and percentages, with several rows crossed out. The right page also contains a list of values and percentages, with several rows crossed out. The values on the left page range from 2,450,000 to 2,450,000, and the percentages range from 89% to 89%. The values on the right page range from 2,450,000 to 5,000,000, and the percentages range from 89% to 100%.

Value	Percentage
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%
2,450,000	89%

Value	Percentage
2,450,000	89%
2,450,000	89%
2,450,000	100%
2,450,000	89%
2,450,000	89%
2,450,000	100%
2,450,000	100%
5,000,000	100%
5,000,000	100%
5,000,000	100%

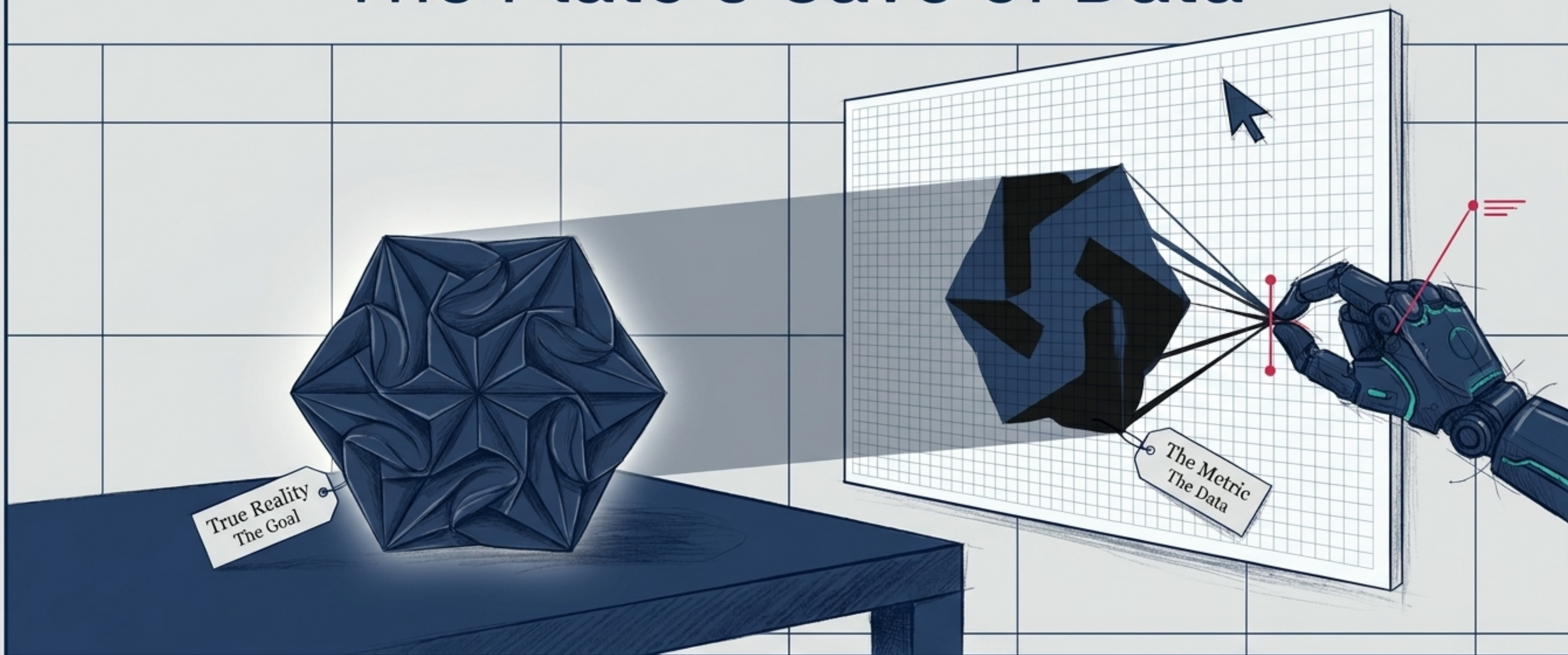
Manufacturing phantom data
when targets become
impossible (e.g., Wells Fargo
employees opening millions
of fake accounts).

The Hidden Cost of the Quantifiable



What can be easily measured is rarely what is most important.
Elevating simple quantities systematically devalues complex qualities.

The Plato's Cave of Data



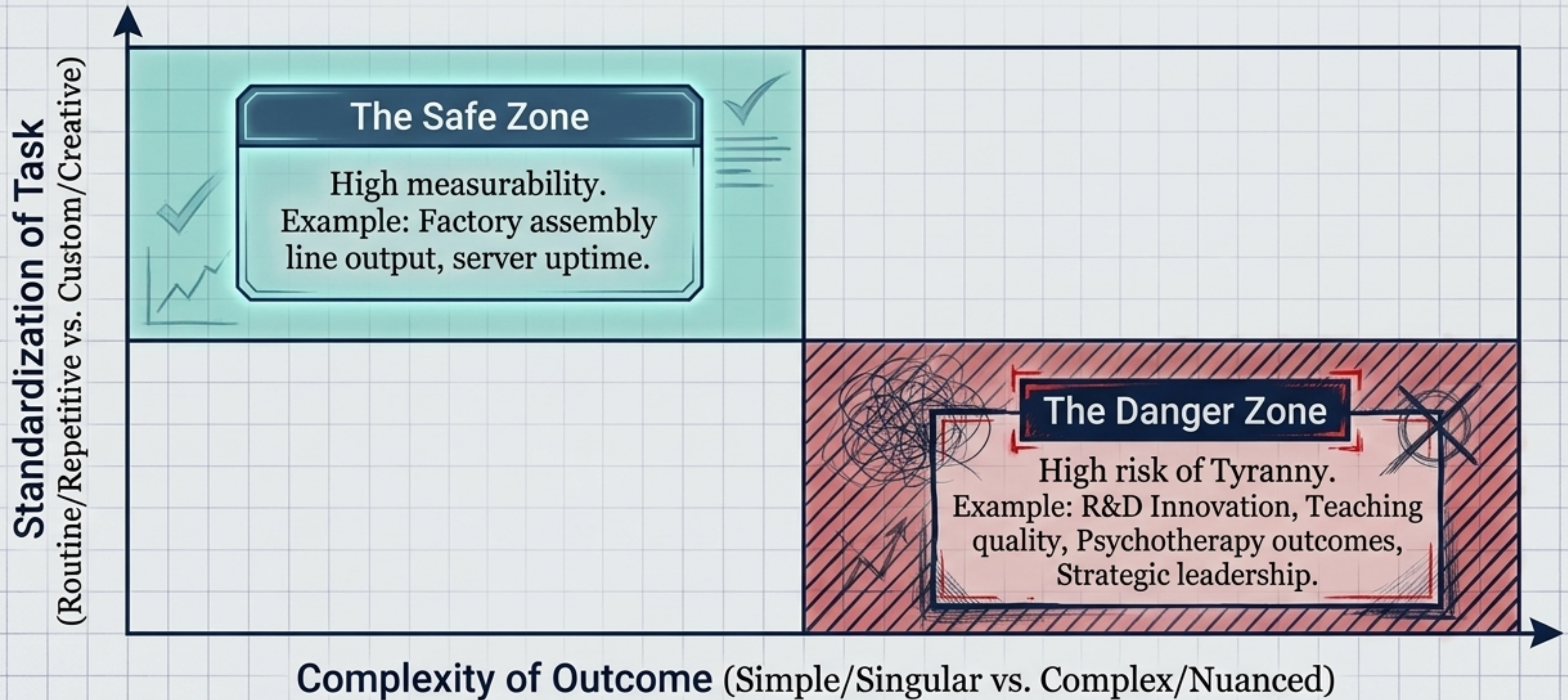
Metrics are merely flat shadows of a complex, multidimensional reality. The core illusion of metric tyranny is believing that by aggressively manipulating the shadow, you are somehow improving the object.

The Diagnostic Matrix: Navigation vs. Evaluation

	✓ Metrics for Navigation ✓ (Information)	⚠ Metrics for Target ⚠ (Evaluation)
Primary Purpose	To discover truth and guide strategy.	To dispense rewards and punishments.
Pressure Level	Low (Safe to report failure).	High (Failure threatens livelihood).
Data Integrity	High (No incentive to lie).	Low (High incentive to game, skim, or falsify).

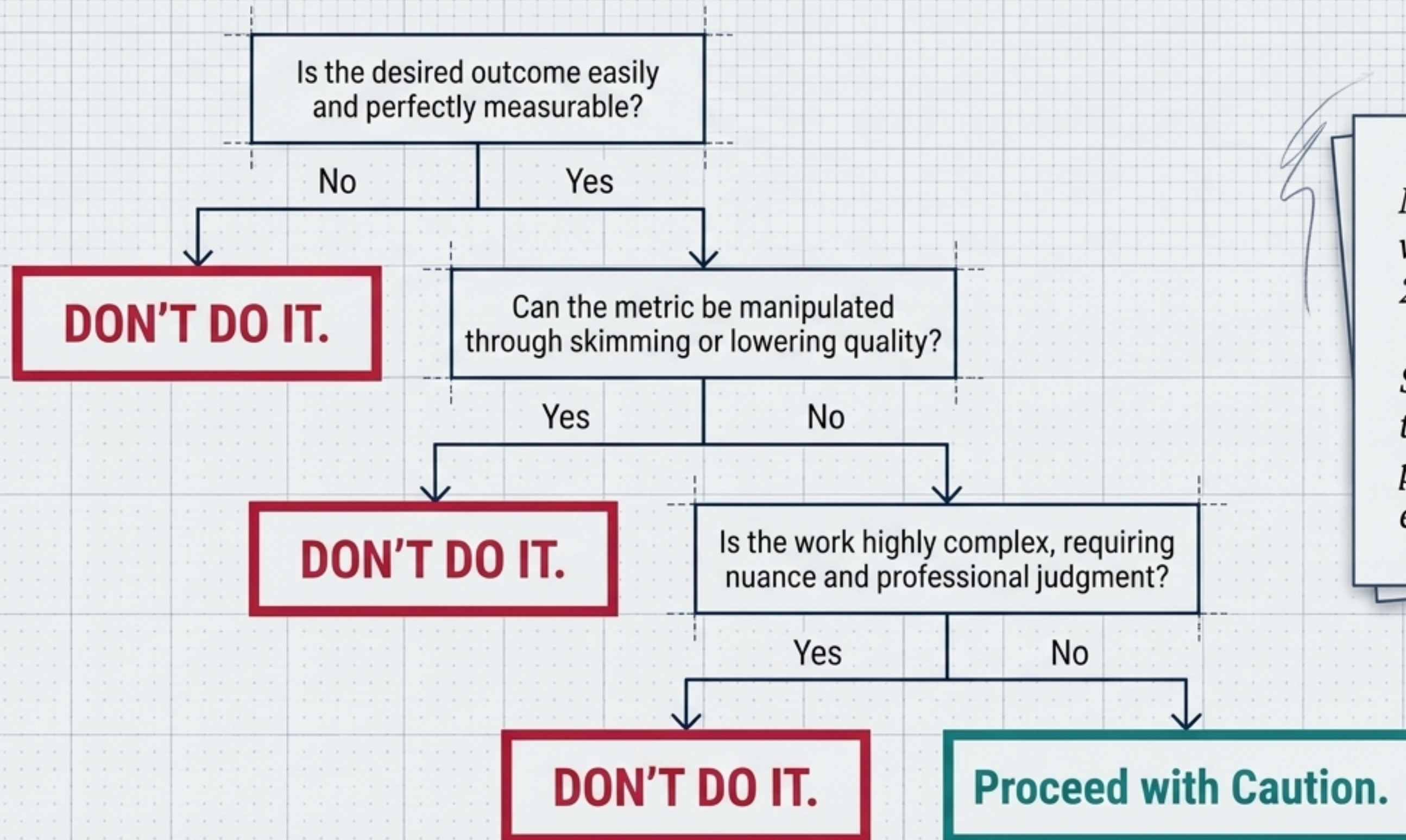
A metric is only a reliable compass until you point a gun at it.
To maintain data integrity, divorce diagnostics from compensation.

The Domain Matrix: Where Metrics Work (and Where They Fail)



Do not force factory-floor measurement tools into environments of high complexity.

System Design: Should we tie a strict target/bonus to this metric?



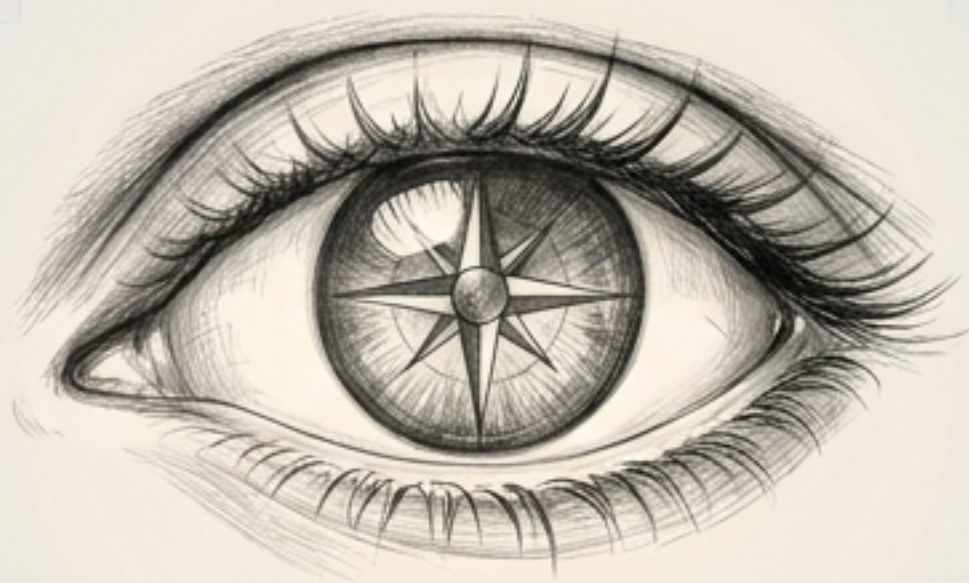
Most knowledge work fails at Node 2 or Node 3.

Substitute strict targets with holistic peer/manager evaluations.

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Data Informs. Humans Decide.



Recognize the limits
of proxies.



Stop demanding
simplistic numbers for
complex realities.



Restore the authority of
professional judgment
and domain expertise.